

Limitation upon Comparison of Speculatively and Conservatively Capitalized Companies in the Same Field. The analyst must beware of trying to draw conclusions as to the relative attractiveness of two railroad common stocks when one is speculatively and the other is conservatively capitalized. Two such issues will respond quite differently to changes for the better or the worse, so that an advantage possessed by one of them under current conditions may readily be lost if conditions should change.

Example: The example shown in Chap. 50 illustrates in a twofold fashion the fallacy of comparing a conservatively capitalized with a speculatively capitalized common stock. In 1922 the earnings of Union Pacific common were nearly four times as high in relation to market price as were those of Rock Island common. A conclusion that Union Pacific was "cheaper," based on these figures, would have been fallacious, because the relative capitalization structures were so different as to make the two companies noncomparable. This fact is shown graphically by the much larger expansion of the earnings and the market price of Rock Island common that accompanied the moderate rise in gross business during the five years following.

The situation in 1927 was substantially the opposite. At that time Rock Island common was earning proportionately more than Union Pacific common. But it would have been equally fallacious to conclude that Rock Island common was "intrinsically cheaper." The speculative capitalization structure of the latter road made it highly vulnerable to unfavorable development, so that it was unable to withstand the post-1929 depression.

Other Illustrations in Appendix. The practical approach to comparative analysis of railroad stocks (and bonds) may best be illustrated by the reproduction of several such comparisons made by one of the authors a number of years ago and published as part of the service rendered to clients by a New York Stock Exchange firm. These will be found in Appendix Note 66. It will be observed that the comparisons were made between roads in approximately the same class as regards capitalization structure, with the exception of the comparison between Atchison and New York Central, in which instance special reference was made to the greater sensitivity of New York Central to changes in either direction.